

Write your name here		
Surname	Other names	
Pearson Edexcel Level 3 GCE	Centre Number 	Candidate Number
Economics B Advanced Paper 1: Markets and how they work		
Predicted Paper (MODERATE) – Afternoon Time: 2 hours		Paper Reference 9EB0/01
You do not need any other materials.		Total Marks

Instructions

- Use black ink or ball-point pen.
- Fill in the boxes at the top of this page with your name, centre number and candidate number.
- Answer all questions.
- Answer the questions in the spaces provided – there may be more space than you need.

Information

- The total mark for this paper is 100.
- The marks for each question are shown in brackets – use this as a guide as to how much time to spend on each question.
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Turn over 

Answer ALL questions.

SECTION A

Read the following extracts (A to D) before answering Question 1.

Write your answers in the spaces provided.

Extract A

The UK fast food market

The UK fast food and takeaway market reached a value of £19.8 billion in 2022, having grown by 7.2% year-on-year. The sector is dominated by major global brands, but independent operators continue to expand, particularly in urban areas.

McDonald's remains the UK market leader with 1,450 outlets. In 2022, McDonald's UK generated revenue of £1.88bn, up from £1.73bn in 2021. Operating profit rose by 15% from £240m in 2021.

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The number of branded fast food outlets grew by 3.8% in 2022, with 312 new stores added. Growth has been particularly strong in suburban drive-thru locations and in delivery-focused 'dark kitchens'. Consumer choice is driven by speed of service, price, brand loyalty, quality of ingredients and increasingly by health and dietary considerations — including the rapid growth of plant-based options.

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Independent fast food brands are also flourishing. Smaller UK-based chains such as Honest Burgers and Leon have expanded rapidly, driven by changing consumer tastes favouring ethical, healthier and locally-sourced options.

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(Source: adapted from UK Fast Food Market Report 2023 © MCA Insight)

Extract B

Leading UK fast food chains ranked by number of outlets (2022)

Fast food chain	Number of outlets
McDonald's	1,450
Subway	2,315
KFC	980
Burger King	530
Greggs	2,328
Pret a Manger	410
Wagamama	165
Honest Burgers	45
Leon	70
Five Guys	130

(Source: adapted from Statista Food Service UK 2023)

Extract C

Honest Burgers – British, seasonal, small

Honest Burgers is a UK-based independent restaurant chain founded in Brixton, London, in 2011. The chain now operates 45 sites across the UK. Its brand identity is built around locally-sourced British beef, seasonal menus and a focus on independence.

In 2022, Honest Burgers reported revenue of £45.6m. Unlike large chains, it emphasises quality over scale. The company has been vocal in supporting smaller farms and says ingredient prices have risen sharply.

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'Our philosophy is to back British food producers and keep the brand distinctive. Even as costs rise, we are committed to quality,' said the founder.

(Source: adapted from Honest Burgers Annual Review 2022)

Extract D

UK wholesale beef price (pence per kilogram), monthly 2022

Month	Price (p/kg)	Monthly change
Jan 2022	395.20	—
Feb 2022	410.50	3.87%
Mar 2022	428.75	4.45%
Apr 2022	441.30	2.93%
May 2022	452.80	2.60%
Jun 2022	462.75	2.20%
Jul 2022	470.10	1.59%
Aug 2022	478.85	1.86%
Sep 2022	484.20	1.12%
Oct 2022	491.55	1.52%
Nov 2022	497.80	1.27%
Dec 2022	502.40	0.92%

(Source: adapted from AHDB Beef & Lamb wholesale price data)

1 (a) Using Extract A, calculate to 2 decimal places the operating profit margin for McDonald's UK for 2022. You are advised to show your working. **(4)**

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(b) Using Extract D, calculate to 2 decimal places the percentage change in the wholesale beef price from January 2022 to December 2022. You are advised to show your working. **(4)**

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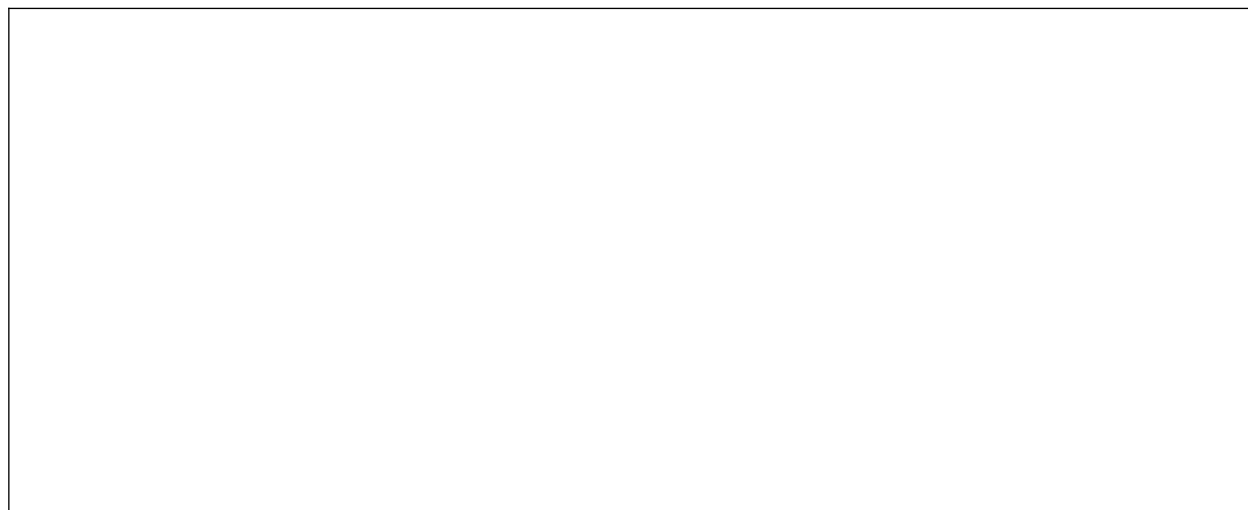
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(c) Using a supply and demand diagram, illustrate the impact on the UK fast food market of the change in consumer tastes toward healthier and plant-based options for established traditional fast food outlets. (Extracts A and C) **(4)**



(d) McDonald's, KFC and Burger King are among the UK's leading fast food chains. (Extract B) Analyse one possible impact of the market structure on the pricing strategy of these firms. **(6)**

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(e) Discuss whether profit maximisation is the most important business objective to an independent fast food chain, such as Honest Burgers. **(8)**

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(f) Extract D shows a rise in the wholesale price of beef during 2022. Assess the impact this might have on prices charged in UK fast food restaurants. **(10)**

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(g) Assess the importance of non-price competition in the UK fast food market. (12)

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(h) Assess whether the UK fast food market could be considered contestable. (12)

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(Total for Question 1 = 60 marks)

TOTAL FOR SECTION A = 60 MARKS

Answer ALL questions.

SECTION B

Read the following extract (E) before answering Question 2.

Write your answers in the spaces provided.

Extract E

The UK minimum wage and its impact on business

In April 2023, the UK National Living Wage for those aged 23 and over rose by 9.7% to £10.42 per hour — the largest cash increase since its introduction. The Low Pay Commission projects further increases that could push the wage above £11 by 2024.

The hospitality and retail sectors — which employ around 3.5 million workers, many on or close to minimum wage — have been particularly affected. Small businesses have warned that wage rises, combined with higher energy costs and food inflation, are squeezing already-thin profit margins.

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Supporters of the increase argue that higher wages put more spending power in the hands of lower-income households, who tend to spend a higher proportion of their income than wealthier groups. This could boost demand for goods and services across the economy.

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However, some economists warn that rapid wage increases could lead businesses to reduce hiring, increase automation, or pass higher costs on to consumers as higher prices — contributing to persistent inflation.

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The impact is not uniform across the UK. Regions with higher living costs, such as London, already had wages above the statutory minimum. In lower-wage regions such as the North East and Wales, the minimum wage rise directly increased pay for a much larger share of the workforce.

(Source: adapted from Low Pay Commission Report 2023 and Financial Times, April 2023)

2. Using Extract E, evaluate the likely impact of rising minimum wage rates on the UK economy. **(20)**

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(Total for Question 2 = 20 marks)

TOTAL FOR SECTION B = 20 MARKS

Answer ALL questions.

SECTION C

Read the following extracts (F and G) before answering Question 3.

Write your answers in the spaces provided.

Extract F

The UK sugar tax

The Soft Drinks Industry Levy (SDIL), commonly referred to as the 'sugar tax', was introduced in the UK in April 2018. It charges manufacturers 24p per litre for drinks with 8g or more of sugar per 100ml, and 18p per litre for drinks with 5-8g of sugar per 100ml.

The policy was designed to tackle childhood obesity by encouraging drinks manufacturers to reformulate products to contain less sugar. Within two years of introduction, the average sugar content of soft drinks had fallen by 43.7%, and the levy raised around £336 million in its first year.

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Critics argue that the tax is regressive, disproportionately affecting lower-income households, and that producers can simply pass the cost onto consumers. Supporters highlight the measurable reduction in sugar consumption and the funding of school sports programmes through levy revenue.

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(Source: adapted from HM Treasury and Public Health England, 2020)

Extract G

Regulating the fast food industry

In October 2022, the UK government introduced new rules restricting the placement of foods high in fat, salt or sugar (HFSS) at supermarket checkouts and entrances. From October 2025, HFSS foods will also face restrictions on multi-buy promotions and advertising before 9pm.

The fast food industry has faced calls for tougher action. Over 70% of UK adults are classified as overweight or obese, with direct costs to the NHS estimated at £6.5 billion a year. Some councils have introduced restrictions on new fast food outlets opening near schools.

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Industry groups have pushed back, arguing that consumer education and voluntary reformulation are more effective than outright regulation. They also warn that stricter rules could damage small independent operators and reduce consumer choice.

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(Source: adapted from Department of Health and Social Care, 2022 and British Takeaway Campaign)

3. Evaluate the likely impact on the UK of increased government regulation of the UK fast food and soft drinks industry. (20)

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(Total for Question 3 = 20 marks)

TOTAL FOR SECTION C = 20 MARKS

TOTAL FOR PAPER = 100 MARKS